(iv) Tobacco, cigarette and related products
(v) Alcoholic drinks
(vi) Drugs and Pharmaceuticals.

3. Abolition of the MRTP Limit

The MRTP limit was Rs. 100 crore so that the mergers, acquisitions and takeovers of the industries could become possible. In 2002, a Competition Act was passed which has replaced the MRTP Act. In place of the MRTP Commission, the Competition Commission has started functioning (though there are still some hitches regarding the compositional form of the latter and its real functions and jurisdictions).

4. Promotion to Foreign Investment

Functioning as a typical closed economy, the Indian economy had never shown any good faith towards foreign capital. The new industrial policy was a pathbreaking step in this regard. Not only the draconian FERA was committed to be diluted but the government went to encourage foreign investment (FI) in its both forms—direct and indirect. The direct form of FI was called as the foreign direct investment (FDI) under which the MNCs were allowed to set up their firms in India in the different sectors varying from 26 per cent to 100 per cent ownership with them—***Enron*** and ***Coke*** being the flag-bearers. The FDI started in the year 1991 itself. The indirect form of foreign investment (i.e in the assets owned by the Indian firms in equity capital) was called the ***portfolio investment scheme*** (PIS) in the country which formally commenced in 1994.[31] Under the PIS the ***foreign institutional investors*** (FIIs) having good track record are allowed to invest in the Indian security/stock market. The FIIs need to register themselves as a stock broker with the SEBI. It means India has not allowed ***individual foreign investment*** in the security market still, only ***institutional investment*** has been allowed till now.[32]

5. FERA Replaced by FEMA